

How to Address the eLending Problem – Competition and Copyright Law Perspectives

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Knowledge
Rights
21

e-Books:

Evidence and Analysis of e-Lending Markets in Europe Competition Law and Copyright Law Perspectives

Report contributions

- Project design and overview: Martin Kretschmer
- eLending Market Study: Kenny Barr
- Competition law analysis: Magali Eben
- Copyright law solutions: Martin Kretschmer/Matteo Frigeri

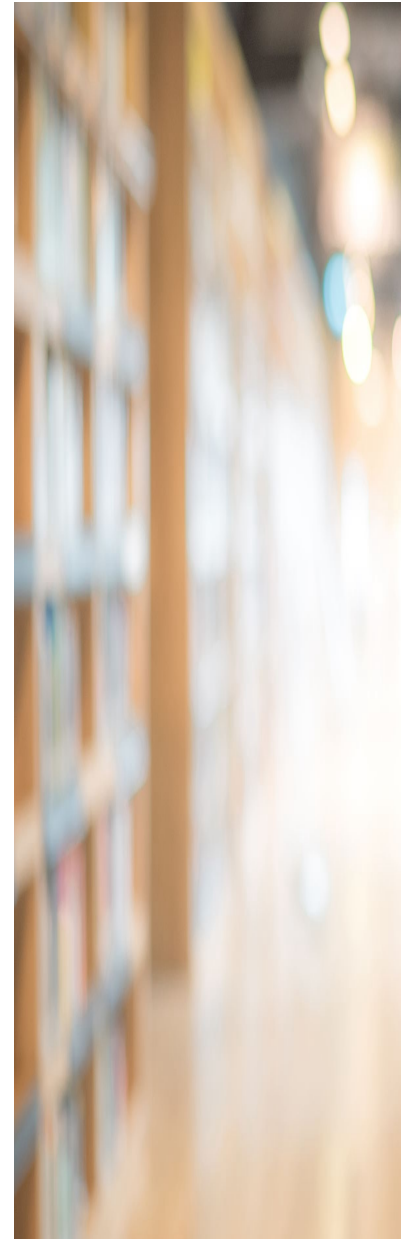


Research context: key interventions

1992: Public Lending Rights (PLR) harmonised in the EU by Council Directive 92/100/EEC, later codified in the Rental and Lending Directive 2006/115/EC.

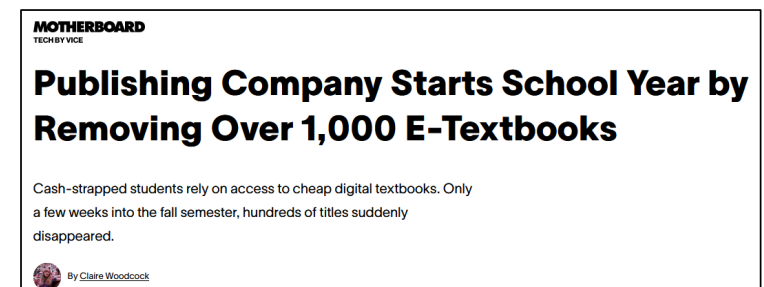
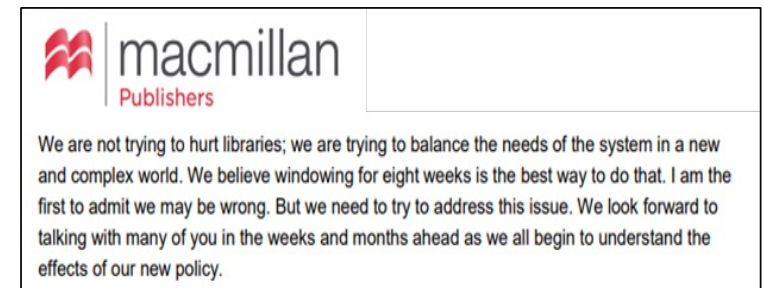
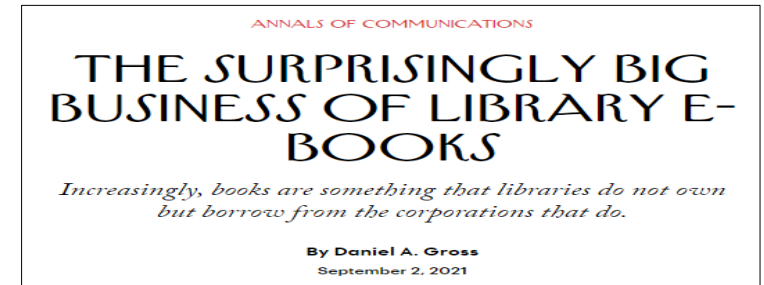
Court of Justice of the European Union (CJEU) – key cases in evolution of eLending in Europe...

- 2016: Vereniging Openbare Bibliotheken v. Stichting Leenrecht ('VOB') (C-174/15)(digital lending)
- AG Szpunar's Opinion in C-174 15 - VOB: *"I take the view that it is imperative to give legal acts an interpretation which **takes into account developments in technology, markets and behaviour** and **not to fix such acts in the past** by adopting too rigid an interpretation"*.
- 2019: 'Tom Kabinet' (C-263/18)(no digital exhaustion)



Research context: conflict

- Widespread dissatisfaction with the ways in which publisher practices and eLending markets have developed in Europe and beyond
- 2020: **#eBookSOS** campaigns in Ireland and UK denounce unavailability, high prices of eBooks and restrictive licences of publishers during lockdown
- 2022: Wiley **removes more than 1300 ebooks** from ProQuest Academic Complete before the start of the academic term
- Calls for intervention to correct problems in eLending markets. What levers are available?



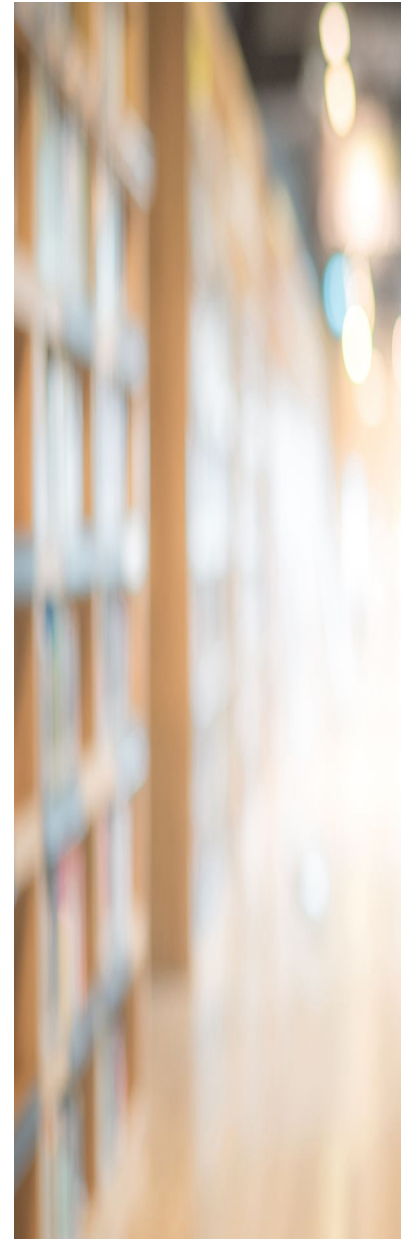
Scope and approach

Scope: Lending of eBooks in Europe by academic libraries/public libraries

- Denmark, Poland, Republic of Ireland, United Kingdom

Approach:

- Desk research: market data, previous relevant legal decisions
- Contract analysis: academic and trade book eLending agreements
- Semi-structured interviews: academic library stakeholders



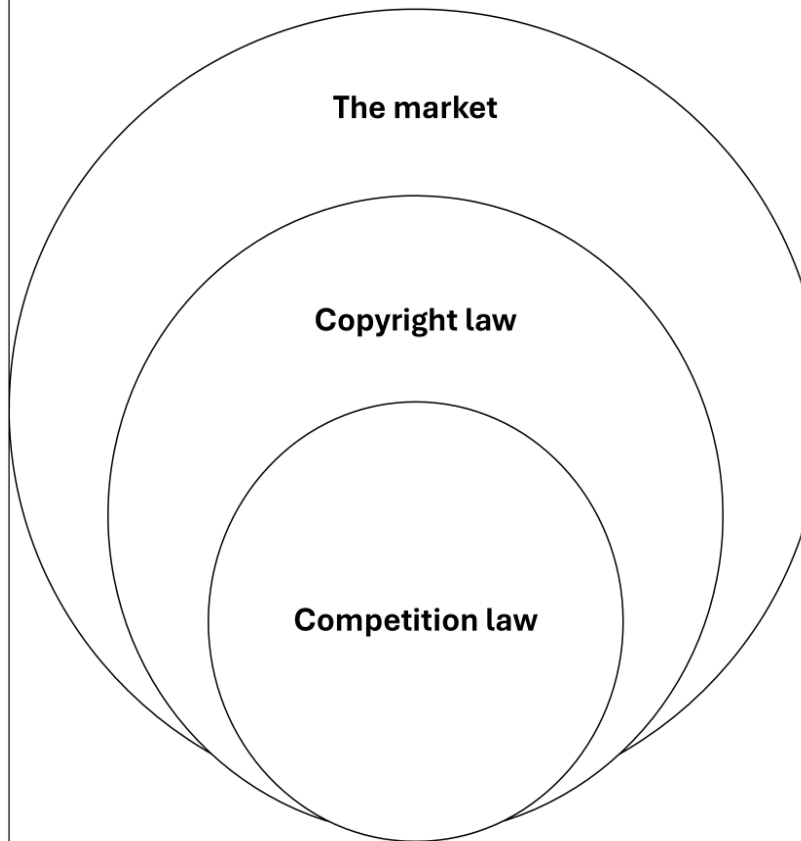
(Re)shaping the eLending landscape

3 Regulatory Modalities of eLending

The market: this relates to the potential for the market to serve as an effective regulatory agent without the requirement for intervention by competent authorities

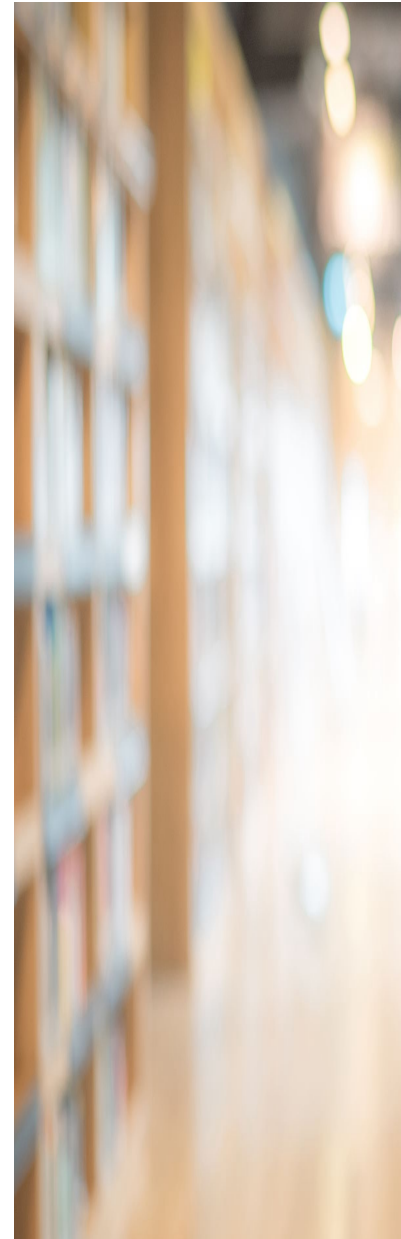
Copyright law: the potential for legislative reforms in respect of copyright law, with particular focus on digitalisation of print books for the purposes of eLending

Competition law: the extent to which competition law might serve as an effective corrective lever in addressing problems identified in eLending markets

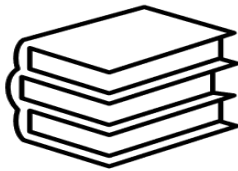


eLending market/s?

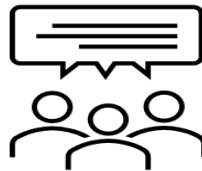
- What are the characteristics of eLending 'markets'?
- Who are the main participants in these markets?
- What problematic issues are observed in these markets?



eLending supply chain and market participants



Supply-side
Publishers
(Authors)



Intermediaries
Platforms
Distributors



Demand-side
Libraries
(Readers)

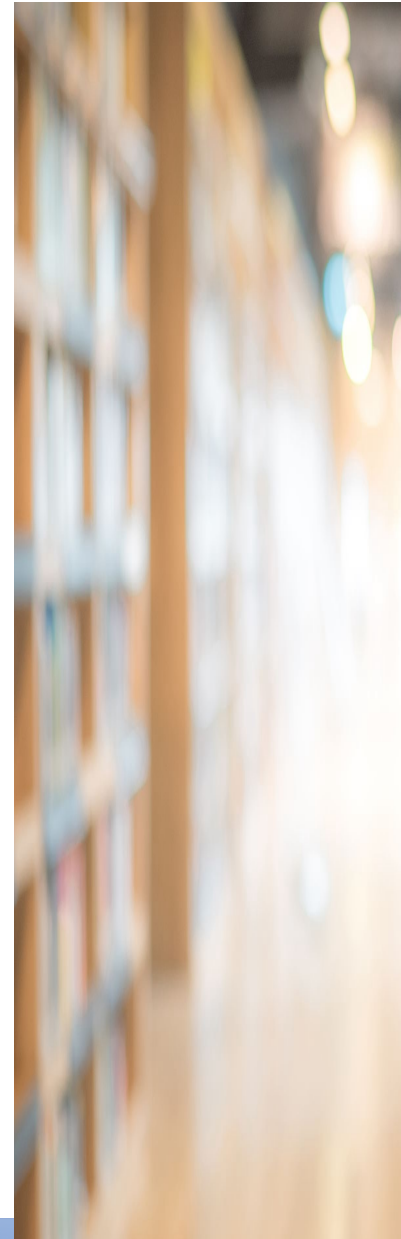
Academic library market

- **Supply-side:** Major publishers: Elsevier, Taylor & Francis, Springer, Wiley. Supplying libraries is core business of scholarly publishers
- **Intermediaries:** EBSCO, JSTOR, ProQuest. Some publishers also provide platform access to eBooks: vertical integration
- **Demand-side:** Academic/research institutions
- **National variations:** e.g. funding models for universities: publicly funded vs fee paying, national language eBooks
- **Known issues:** High-demand textbooks particularly problematic: pricing and removal from bundles etc. Refusal to license content for eLending

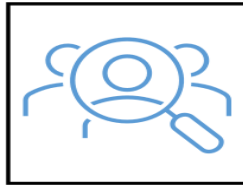


Public library market

- **Supply-side:** Major trade book publishers: Hachette Livre, Harper Collins, Macmillan, Penguin Random House, Simon and Schuster. Supplying libraries secondary element of trade publishers' business
- **Intermediaries:** transnational platforms e.g. OverDrive, Bolinda
- **Demand side:** Public libraries
- **National variations:** National language publishers e.g. Gyldendal (Denmark) and Wydawnictwo Literackie (Poland). Country-specific platforms e.g. eReolen (Denmark), Legimi (Poland)
- **Known issues:** Lending viewed as potential threat to book sales. 'Windowing' strategies restrict availability of titles for eLending e.g. newly published bestsellers

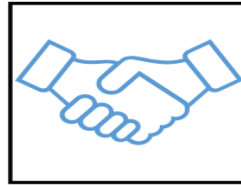


Problems in contemporary eLending markets



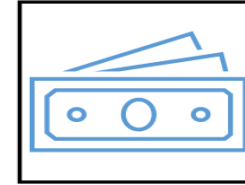
MARKET STRUCTURE

**Oligopoly markets
controlled by small number
of powerful suppliers and
intermediaries**



LICENSING

**Libraries face
considerable challenges
in relation to licensing
content and building
collections**



PRICING

**Prohibitive pricing
relative to print books
and little transparency
on pricing mechanisms**

Understanding competition law

- Competition law prevents or rectifies the negative effect of substantial **market power** on **competition**, through rules on abuse of dominance (single firm), as well as rules on cooperation between firms, and scrutiny of mergers
- Not all exclusive rights grant substantial market power in this sense; not all conduct by powerful entities harm competition
- Enforcement of abuse of dominance rule (Art 102 TFEU) requires:
 1. An undertaking, i.e. economic activity
 2. Dominance, i.e. substantial market power in a relevant market
 3. Conduct
 4. Actual or potential harm
 - a) Exclusion (of rivals) - harm to competition
 - b) Exploitation (of customers/consumers/trading partners)

Abuse of dominance in eLending: a few crucial challenges

1. Do these entities engage in 'economic activity'?
2. What relevant markets do they operate in?
3. Are they dominant?
 - a) Substantial market power in relevant markets (market shares, barriers to entry, ...)
 - b) Another avenue: economic dependence / superior bargaining position
4. Is there a competitive relationship?
 - a) Exclusion (of rivals) requires a competitive relationship: with publishers/platforms, or between libraries
 - b) Exploitation (of customers/consumers/trading partners)

eLending competition law 'diagnostic toolkit'

- 1. Refusals to Supply: outright refusals and withdrawals/terminations**
- 2. Constructive Refusals to Supply: restrictive licensing terms/delayed supply**
- 3. Bundles**
- 4. Unfair Trading Conditions**
- 5. Excessive Pricing**
- 6. Avoidance of the Spirit of Other laws: Text and Data Mining**
- 7. Lack of Transparency**

Conduct	Contracts	Interview	Example
1: Refusals to Supply 2: Constructive Refusals to Supply		Y	<i>‘...we would have some textbook, and we would have only a handful of licences for it and we’re no longer able to buy new licences for it. So, in other words, they don’t remove it, but they’ve shut it down and it’s available and it’s so oversubscribed it practically stops working.’ (RoI interview respondent)</i>
3: Bundles	y	y	<i>‘There’s been some complaints over the years about that, but that’s more when the content of a bundle changes in the middle of a semester. So a teacher might find an e-Book and say to the students, well, you have to read part of this book, and then halfway through the semester the content of the bundle changes and the book is gone.’ (Denmark interview respondent)</i>
4: Unfair Trading Conditions 5: Excessive Pricing		y	<i>‘I think the challenge is, and my perspective on it is that it will force libraries to have to pay more and more and more money for core texts and the core textbooks. And that means sacrificing the breadth and the depth of our collections, and I think it will have a damaging pedagogic effect really.’ (UK interview respondent)</i>
6: Avoidance of the spirit of other laws 7: Lack of Transparency	y		<i>...any robots, spiders, crawlers or other automated downloading programs, algorithms or devices to continuously and automatically search, scrape, extract, deep link, index or disrupt the working of the Subscribed Products. (Poland academic eBook licence)</i>

eLending & competition law findings and questions

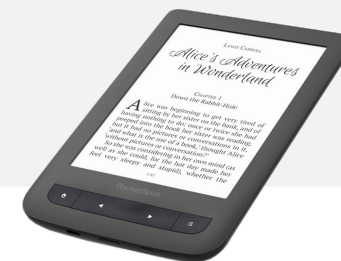
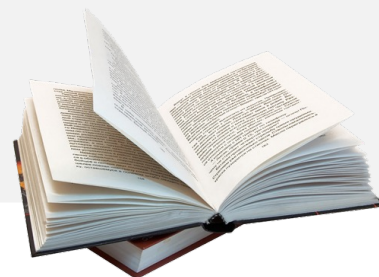
- Dominance: making a case based on market power is challenging
 - Relevance of imbalances in bargaining power?
- Exclusion: refusals to supply, bundling all require exclusion
 - Is there a market (economic activity) in which libraries compete – with each other or with publishers?
- Exploitation: unfair trading conditions, excessive pricing, as well as refusals could be exploitative
 - Used sparingly, but on the rise – misuse of power
- Is competition law the right fit to intervene?
 - Potential for inspiration from regulation/law which tackles imbalances in power
 - Competition law analysis indicates practices which endanger viability of libraries, and a disconnect between commercial incentives and public service

Lending of (e)books as non-commercial (digital) access to knowledge

Public Lending Right (PLR)

- First harmonised in 1992, later codified in Directive (EU) 2006/115/EC.
- It confers the exclusive right to **“making available for use, [copyright-protected work – e.g., a book] for a limited period of time and not for direct or indirect economic or commercial advantage, through establishment accessible to the public”**.
- It serves both **economic** and **cultural** policy objectives – see “Derogation from the exclusive PLR” in Art 6.

	Print	Digital
Market dynamics Libraries need to enter into licensing agreement (e.g., with publishers) to lend books to the public	Public Lending Right (PLR)	Before C-174/15 VOB (2016) Communication to the public right But note C-263/18 Tom Kabinet (2019)
Non-market dynamics Libraries can lend books ‘provided at least authors obtain a remuneration’	Derogation from PLR	After C-174/15 VOB - Derogation from PLR



Policy Opportunities: copyright law

Competition law analysis revealed potentially problematic market practices, but competition-related interventions are not straightforward. Equally, within copyright law, there are hurdles to overcome to arrive at secure digital lending schemes at the EU Member State level that would realise the rationale of the *VOB* decision.

The report identifies 3 key copyright policy opportunities –

- (1) Clarification of what constitutes a ‘lawful source’
- (2) Regulation of licensing contracts
- (3) Limiting the exercise of exclusive rights



Copyright solutions (1): lawful source

Clarification of what constitutes a lawful source.

While *VOB* permits libraries to make a digital copy of physical books in their possession for eLending, libraries also need to be able to acquire eBooks by donation, interlibrary loan or in secondary markets (regardless of the licensing frame asserted in *Tom Kabinet*).



Copyright solutions (2): contract regulation

Regulation of licensing contracts.

More sustainable agreements between libraries, aggregators and publishers could be incentivised by removing the requirement for a specifically licensed copy if there is no licensing scheme available that ensures the public function of libraries.



Copyright solutions (3): limitation

Limiting the exercise of exclusive rights.

A deposit copy of any born-digital book could be made available to designated libraries in the same way as for physical books.

Alternatively, the legislator could provide an exception, e.g. a preservation copy that acts as a backstop for non-commercial eLending if no fair licence is available.

Such an exception should not be overridable by the presence of technological protection measures.

Conclusions: copyright law solutions in practice

Articulate a strong policy foundation for libraries. Libraries must have autonomy to assemble collections that can be made available for non-commercial eLending.

Better guidance on implementation of the VOB principles. Support access to digital copies from a wider range of sources, such as donation, interlibrary loan or digitisation of physical books already in a library's collection.

Legislators do need to intervene beyond principles and guidance. The seven problematic practices identified in the competition law analysis suggest that licensing contracts are not fair and reasonable.

A straightforward intervention: If licensing schemes do not enable the building of sustainable collections, libraries are free to override contracts to create permanent digital copies, including removing TPMs. This could be articulated as a preservation copy (exception) or as a regulation of contracts.

A more foundational intervention: persuade legislators to extend deposit requirements to digital-only books.



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